# Case for Change: Business Crisis Case Competition

**Economics Department, Lady Shri Ram College for Women**

*Theme: India's $5 Trillion Economy: AI Shaping Human Capital and Future Workspaces*

## 1. Company Background

The Company is a **fictional** mid-sized Indian services firm. For 15 years its edge was cheap, scalable human labour: BFSI document processing, e-commerce catalogue quality control, and multilingual voice and chat support for banks, lenders, insurers, online marketplaces and telecom operators. It employs 2,400 people across five cities, many in their first formal job.

That edge is disappearing. In the last 18 months, AI-powered competitors have offered similar services at roughly 30% lower prices and about three times faster. Clients are shifting volume and demanding price cuts. On its current trajectory the Company has **six months of cash** before it shuts down.

| ₹ Cr | FY23 | FY24 | FY25 | Current run-rate* |
|---|---|---|---|---|
| Revenue | 240 | 262 | 226 | 182 |
| Total operating cost | 196 | 217 | 222 | 213 |
| EBITDA | 44 | 45 | 4 | (31) |
| Employee cost as % of revenue | 53% | 55% | 65% | 80% |
| Headcount | 2,300 | 2,550 | 2,500 | 2,400 |

*Last three months, annualised.

- **Cash and constraints:** ₹40 Cr in cash. The ₹15 Cr emergency budget is part of it, not on top. No new debt or fresh funding. The ₹40 Cr term loan requires cash to stay above ₹15 Cr.
- **Workforce:** 1,350 frontline processors, 420 senior exception handlers, 380 voice agents, 190 team leads, 60 tech and corporate staff. Average cost ₹6 lakh a year; average tenure about six years; annual attrition about 26%.
- **Unit economics:** Every business line now loses money per unit. One BFSI file costs ₹41 to process and sells for ₹38.
- **Competitors:** An AI-native firm sells the same file at ₹27 (estimated cost about ₹9) but is weaker on handwritten and regional-language forms; a large incumbent with AI-assisted staff sells at ₹33 (cost about ₹28); a regional-language voice AI start-up needs human data labellers.

## 2. The Case: What You Need to Solve

You are external strategy consultants called in for an emergency board review. Decide what the Company should do next: not simply whether to "adopt AI", but how to respond to a business model that is becoming obsolete, and what happens to the workforce that built it. Build your recommendation around **one primary path**:

| Path | Core bet | Key risk |
|---|---|---|
| **1. Reskill & Restructure** | Retrain staff to work with AI and restructure how work is done, keeping and redeploying many people. | Too slow or costly to pay off within the runway. |
| **2. Get Acquired / Merge** | Partner with or sell to an AI-native competitor for immediate technology and scale. | Losing control over integration, especially workforce decisions. |
| **3. Pivot the Business** | Exit the disrupted line and reinvent around a new AI-adjacent service. | Unproven market, with little cash and time. |
| **4. Wind Down** | Close in an orderly way with fair severance, preserving more value than burning cash. | Loss of the business and its jobs. Hard to defend as a win. |

**You may combine paths or propose your own, but you must name a primary path and explain why it beats the standard options.**

### The non-negotiable question

**What happens to the people who built the company when the business they built is no longer economically sustainable?** Every major decision must connect to both business economics and human capital. The workforce cannot be an afterthought.

## 3. Deliverables: Five-Slide Strategy Deck

Submit five core slides (excluding title slide and appendix) that read as one end-to-end argument.

| # | Slide | What it must show |
|---|---|---|
| 1 | **Diagnose the Crisis** | What has changed, why the model is uncompetitive, and what the data says about urgency. |
| 2 | **Quantify the Problem** | Unit economics and workforce-cost modelling: where value is lost and what the Company can afford. |
| 3 | **Choose & Justify a Path** | One of the four paths or your own, and why it fits the finances, competition, capabilities and runway. |
| 4 | **Build the Strategy & Plan** | Resource allocation, key actions, financial feasibility and milestones. |
| 5 | **Address the Workforce & Risks** | What happens to the people, plus major risks, trade-offs and contingencies. |

Your strategy must be financially viable, operationally realistic and defensible under scrutiny.

## 4. What You Will Be Evaluated On

| Criterion | Weight | What judges look for |
|---|---|---|
| **Analytical rigour** | 25% | Sound use of financials, unit economics and workforce-cost modelling. Numbers that tie together. |
| **Strategic judgement** | 25% | A clear choice and honest trade-offs between speed, cost, control, survival and human impact. |
| **Workforce & human impact** | 20% | A specific, costed plan for the people affected, not an afterthought. |
| **Originality of insight** | 15% | Spotting what other teams miss in the data. |
| **Adaptability** | 15% | Defending and adjusting your plan when assumptions change. Finalists face a new development before presenting. |

**Disclaimer:** This case is entirely fictional. The company, people, competitors, places and every figure in it are invented for this competition. Any resemblance to a real organisation or person is coincidental.